Initating Covearage

DALAL & BROACHA
STOCK BROKING PVT. LTD.

Just Getting Started; **Best Is Yet To Come!**

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HOME FIRST FINANCE COMPANY

INITIATING COVERAGE | BFSI

JUST GETTING STARTED; BEST IS YET TO COME!

DALAL & BROACHA STOCK BROKING PVT. LTD.

Equity Research Desk

April 20, 2021

Home First Finance Company (Home First) is a technology driven, affordable housing finance company, which can double its AUM in the next three years, supported by deep distribution in relevant markets, data Science backed underwriting and diversified financing profile. Besides, stable-to-improving margins, increasing efficiency in cost structure, and a well-provided balance sheet will enhance the core return ratio (RoA 2.7% in FY20 to 3.9% in FY23) over the medium term.

What do we like about Home First?

- **As revenue growth** (FY20-FY23 CAGR of 31%) **is expected to be higher than cost growth** (FY20-FY23CAGR of 23%), the **company's cost to income ratio (C/I ratio) will continue to trend down** in our view **providing significant operating leverage.** Many HFCs have shown a similar trend. For example, Can Fin Homes' C/I ratio improved from 33% (loan book at ~ Rs 40 Bn) in FY13 to 15.7% (loan book at ~ Rs 200 Bn) in FY20.
- The company's **asset quality performance** in 9MFY21 has **displayed a solid resilience with stage-3 assets at 1.6%,** collection efficiency at 98% (Dec 2020), and zero restructuring. ECL provision as of Q3FY21 is at Rs 0.46 Bn resulting in a total provision to total loan ratio at 1.4% & Stage-3 PCR is at 90.4%.
- **With capital adequacy ratio** (post completion of IPO) **of 63%, Home First is well positioned to grow without the need to raise capital over the medium term.**
- Strong ownership (True North, Aether & Warburg Pincus) provides the required comfort in Company's ability to achieve its mid-to-long-term goals

What Does Home First Bring to the Table?

- **Home First does a more holistic assessment** of the **customer's family income & provides right loan amount**. So the customers are willing to pay that little extra (Home First's average yield stood at 13% vs 9-11% of large peers).
- **The company's** technology led **operating model** helps it to **deliver** industry-leading productivity ratios & the **turnaround time of 48 hr vs. industry average of 8 to 10 working days**.
- Home First's branch productivity is one of the highest among its small size peers (AuM & Disbursement per branch stood at Rs 565 Mn & Rs 253 Mn respectively).

Financial Summary

Y/E Mar (Rs Bn)	FY20	FY21E	FY22E	FY23E
Adj BVPS	116	156	176	200
EPS (Rs)	10	12	20	25
P/ABV (x)	4.0	3.0	2.6	2.3
P/E (x)	46	39	24	18
RoA (%)	2.7	2.6	3.5	3.8
RoE (%)	10.9	8.8	11.5	12.9

Source: Dalal & Broacha Research, Company

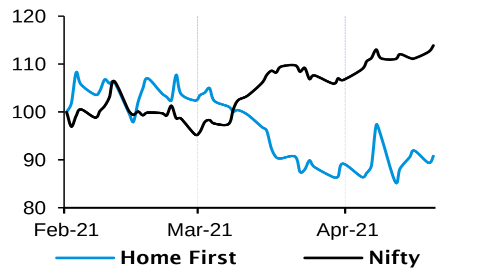
Rating	TP (Rs)	Up/Dn (%)
BUY	622	35

Market data

Current price	**Rs**	**462**
Market Cap (Rs.Bn)	(Rs Bn)	42
Market Cap (US$ Mn)	(US$ Mn)	557
Face Value	Rs	2
52 Weeks High/Low	Rs	639/441
Average Daily Volume	('000)	106
BSE Code		543259
Bloomberg		HOMEFIRS:IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Mar-21	Jan-21
Promoters	33.70	33.70
FII	10.86	6.73
DII	41.70	40.66
Others	12.79	18.91
Total	**100**	**100**

Source: BSE

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Valuation and outlook

We like Home First because of its Niche positioning, solid profitability and sustainable growth trajectory. Besides, its ability to leverage technology for better service delivery, funding availability with competitive cost of funds and investment by marque private equity players (like True North, Warburg Pincus, Aether Mauritius and Bessemer India) adds to positivity. We believe that it offers an 'early stage' investment opportunity given strong growth momentum, focused strategy and high capitalization. We have already seen similar instances wherein such companies have delivered strong returns, the classic example being GRUH Finance – was trading at >10.7x FY19 P/BV for RoA of ~2.7% levels. Thus, we have assigned a 'Buy' rating on Home First with a price target of Rs 622, valuing the stock at 3.1x FY23E P/Adj BV.

Business Profile

- Home First focuses on a niche customer segment, which might not be exactly creditworthy for most of the larger banks and HFCs. Most of Home First's customers are first time home buyers and may not have credit histories supported by tax returns and other documents.
- The company does a more holistic assessment of the customer's family income, spends time with the customer to understand what other sources of income they have, how many family members are working and so on. This holistic assessment and providing the right loan amount are very critical for the customers.
- These are the people who are either salaried (employed by small firms or work in junior positions in larger companies), or self-employed, (running small businesses like providing transportation facilities in auto rickshaw or other vehicles, running grocery shops, and other businesses).
- In terms of product features as well the risk-reward metrics concerns, the company has a granular portfolio with high customer equity, typically for self-occupied house (92% of loans), Salaried customers (74% of loans) with very small exposure to Developer financing (2% of loans).
- The company try to fill the home financing gap for the segment that large NBFCs /HFC/banks normally do not cater to because of operational costs and lack of proven credit history.

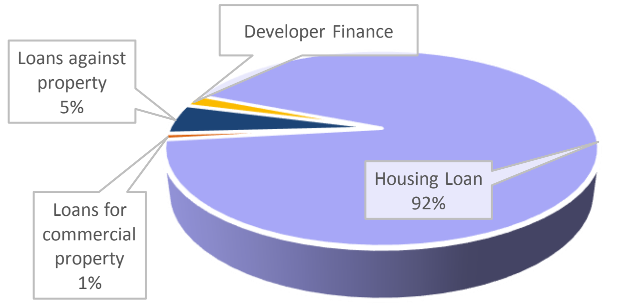
Most of Home First's customers are first time home buyers and may not have credit histories supported by tax returns and other documents.

The company try to fill the home financing gap for this segment that large NBFCs /HFC/banks normally do not cater to because of operational costs and lack of proven credit history.

Over the past few years, the company has focused more on customers with existing credit history – the share of such customers in total AUM increased from 55% to 68% over FY17-9MFY21.

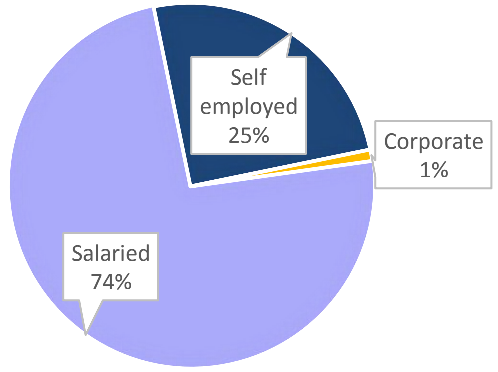
Portfolio Matrix

Chart 1: Sharp focus on Housing Loans



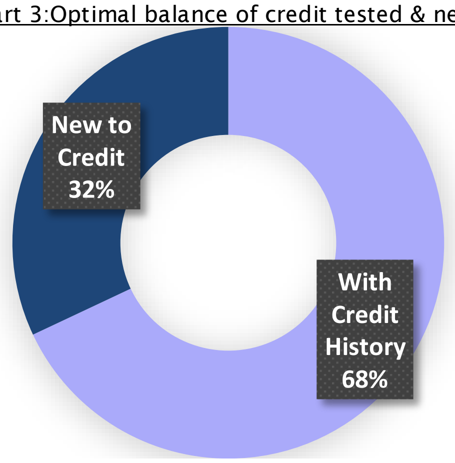
Source: Dalal & Broacha Research, Company

Chart 2: Higher proportion of salaried customers



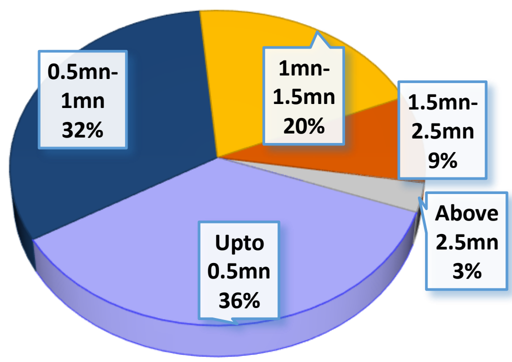
Source: Dalal & Broacha Research, Company

Chart 3:Optimal balance of credit tested & new to credit



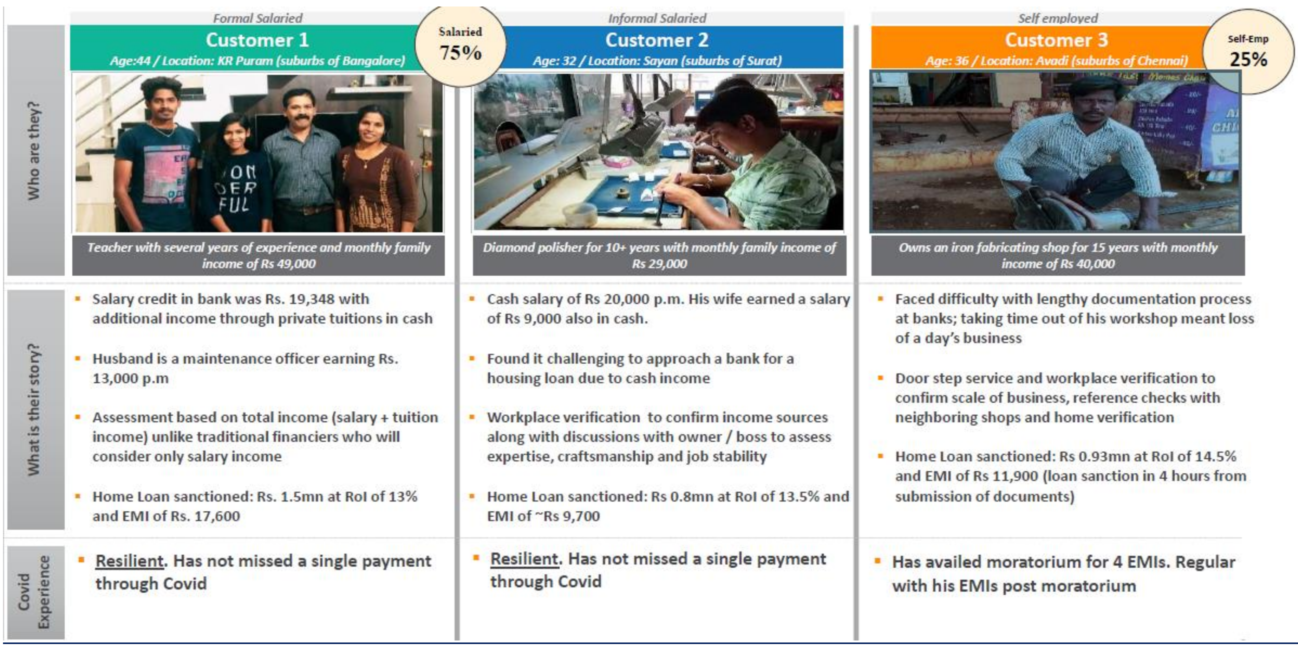
Source: Dalal & Broacha Research, Company

Chart 4: Granular portfolio



Source: Dalal & Broacha Research, Company

Few example of Customer



Source: Dalal & Broacha Research, Company

Robust Credit Approval Process

- **Initial Screening and Pre-Sanction Check:** Fresh customer leads are logged into the system by its relationship managers (RM). Thereafter, RM conducts home & workplace visits and submit the completed digital loan application along with its commentary on visits and personal discussion with the customer. This is cross checked by its underwriting and operations team for several factors including completeness of application form, KYC, eligibility, fraud check, credit bureau, income assessment, LTV, value of collateral, bank statements, debt burden and third party databases for income and asset ownership.

RM conduct home & workplace visits & submit the completed digital loan application along with its commentary on visits and personal discussion with the customer.

- **Customer Credit Underwriting:** The Company has centralized underwriting team assisted by data science backed customer-scoring model to evaluate a customer's ability to repay the loan and maintain consistency in underwriting procedures across branches and regions. The company utilize proprietary machine learning credit scoring models for credit assessment process and bifurcates customers into different categories based on the level of risk, to make a final decision.

The Company has centralized underwriting team assisted by data science backed customer-scoring model to evaluate a customer's ability to repay the loan and maintain consistency in underwriting procedures across branches and regions.

- **Loan Collection and Monitoring:** The Company has set up a robust and tiered, collections management system with prescribed collection action at each stage of severity of default. All its borrowers register for an automated debit facility, which reduces its cash management risk, and tracks the status of instalments collected on a real time basis through a collections module. Approximately 93% of its collections for the financial year 2020 were non-cash based.

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Value Proposition

ACCESS	SPEED	TRANSPARENCY	SERVICE
▪ Understanding customer's needs via well educated & trained RMs ▪ Right-size the loan through a holistic evaluation of all formal/informal sources of income ▪ Alternative documents (Life insurance policies, property deeds etc.) used for evaluation	▪ 48 Hr Turn Around Time for Approval ▪ Centralised & consistent underwriting ▪ Mobility solutions for customers, employees and sales channels for quick and efficient processes and service	▪ Mandatory counselling sessions for customers on loan and insurance terms ▪ Digital access to loan documents for the customer ▪ No prepayment charges and easy prepayment options	▪ Home visits coupled with paperless process to ensure minimal disruption to daily customer routine ▪ Dedicated Service Manager for every customer ▪ Customer app for easy access to loan statements, prepayments and raising service requests

Source: Dalal & Broacha Research, Company

New bright kid on the block!

("An organization's ability to learn, and translate that learning into action rapidly, is the ultimate competitive advantage")

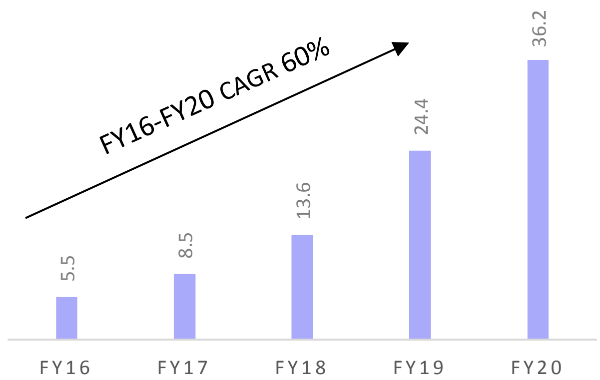
- Given the under-penetration in the niche customer segment that Home First caters to, we feel that it will be able to maintain its strong loan book growth in the foreseeable future.
- Despite the liquidity crunch, the company has posted a FY15-FY20 AUM CAGR of 61% while disbursements grew at 50% CAGR. Currently, the company's loan book stood at ~Rs 40 Bn, which will likely double in the next three years, supported by diversified sourcing channels and expanding distribution network (stood at 72 branches vs. 42 three years back).
- There are many examples where well managed companies are able to double their loan book in two to three years. For e.g. Can Fin Homes has doubled its loan book from Rs 40.2 Bn in FY 13 to Rs 82.31 B n in FY15, while GRUH Finance has doubled its loan book from Rs 40.8 Bn in FY12 to Rs 89.3 Bn in FY15.
- We believe Home First is in early growth phase and there is a lot of scope to expand the business.

Despite the liquidity crunch, the company has posted a FY15-FY18 AUM CAGR of 69% while disbursements grew at 56% CAGR.

We believe Home First is in the early growth phase and there is a lot of scope to expand the business.

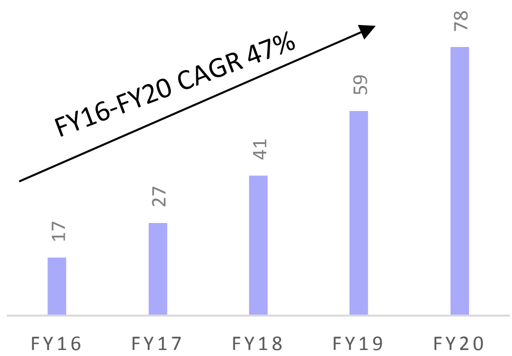
Significant headroom for growth

Chart 5: Home First



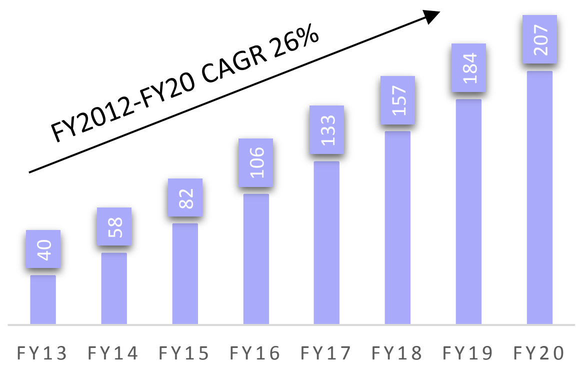
Source: Dalal & Broacha Research, Company

Chart 6: Aavas Financiers



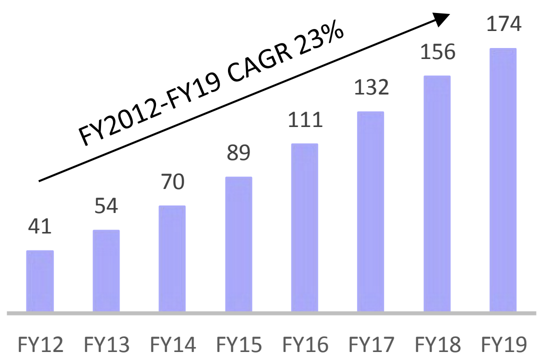
Source: Dalal & Broacha Research, Company

Chart 7:can fin homes



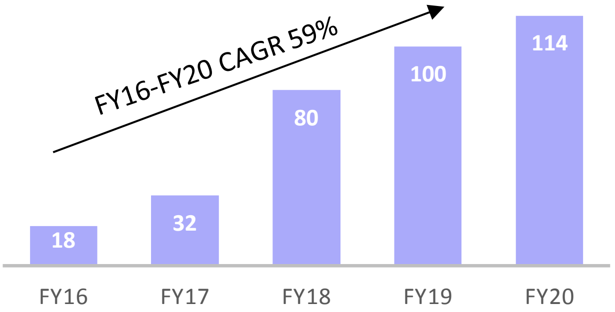
Source: Dalal & Broacha Research, Company

Chart 8: GRUH Finance



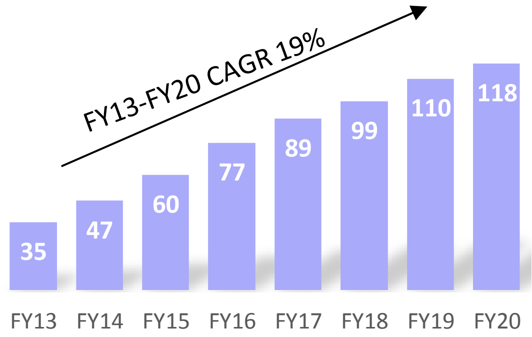
Source: Dalal & Broacha Research, Company

Chart 9: Aadhar Housing Finance



Source: Dalal & Broacha Research, Company

Chart 10: Repco Home Finance



Source: Dalal & Broacha Research, Company

Loan growth reported by major payers in last five years

Rs in Bn	FY15	FY16	FY17	FY18	FY19	FY20	5Y CAGR
HDFC	2282	2595	2965	3628	4066	4509	15%
LIC Housing Finance	1084	1252	1456	1675	1946	2106	14%
Indiabulls Housing Finance	522	687	913	1222	1205	930	12%
PNB Housing	173	276	415	623	847	833	37%

Source: Dalal & Broacha Research, Company

HUGE OPPORTUNITY AVAILABLE IN TARGET SEGMENT

- Currently, India has one of the largest young population in the world, with a median age of 28 years. There is a significant housing shortage in India, mostly in lower income segments in urban (95% of urban housing shortage is in EWS/LIG segment) and rural (90% of rural housing shortage is in EWS/LIG segment) areas— Home First's target segment.

There is significant housing shortage in India, mostly in lower income segments in urban as well as rural (over 90% of housing shortage is in EWS/LIG segment) areas- that Home First targets

- Catering to this segment requires a special skillset in absence of requisite income proofs as lending to them, is based on an assessment of their income through various methods, including their cash flows. As a result of its expertise, experience and business model, Home First can effectively serve such customers and grow its business.

As a result of its expertise, experience and business model, Home First is able to effectively serve such customers and grow its business.

- Over the years, HFC players saw many ups and downs not only in terms of business growth but also in terms of return ratio. Among this players, most of the time companies which are focused on retail housing loan and specifically on the salaried segment (who have predictable cash flows) are able to maintain their return ratio across cycles.

We believe companies which are focused on retail housing loan and specifically on salaried segment (who have predictable cash flows) are able to maintain their return ratio across cycles.

- Best examples to prove this theory is GRUH Finance & Can Fin Homes, which are able to maintain their credit cost under control and able to generate handsome returns for their investors. Home First is also such outlier, who focused on housing (92% of total loan) and specifically on salaried segment (74% of total loan).

Superior asset quality aided by data and technology analytics

- Home First's asset quality performance in 9MFY21 has displayed a solid resilience with stage-3 assets at 1.6%, collection efficiency at 98% (Dec 2020), 1+ DPD pool at 7.5% (Q3FY21) and zero restructurings.
- COVID19 was the most-rigorous stress test of the company's underwriting till date, which the company has pass with flying colours.
- On provisions, ECL provision as of Dec 2020 is at Rs 461.8 million resulting in a total provision to loan outstanding ratio at 1.4% and Stage-3 provision coverage ratio is at 90.4%.
- The company has also imposed more stringent credit guidelines and further strengthening the underwriting process keeping in mind the COVID-19 environment for new customers as well as existing customers for already approved loans.

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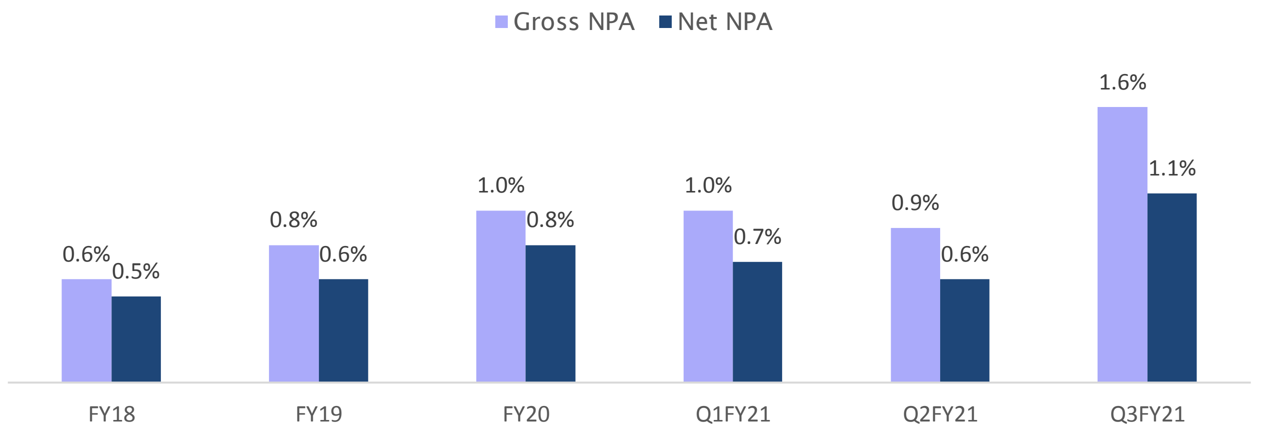
Chart 11: Asset Quality have a relatively lower impact of the pandemic



Source: Dalal & Broacha Research, Company

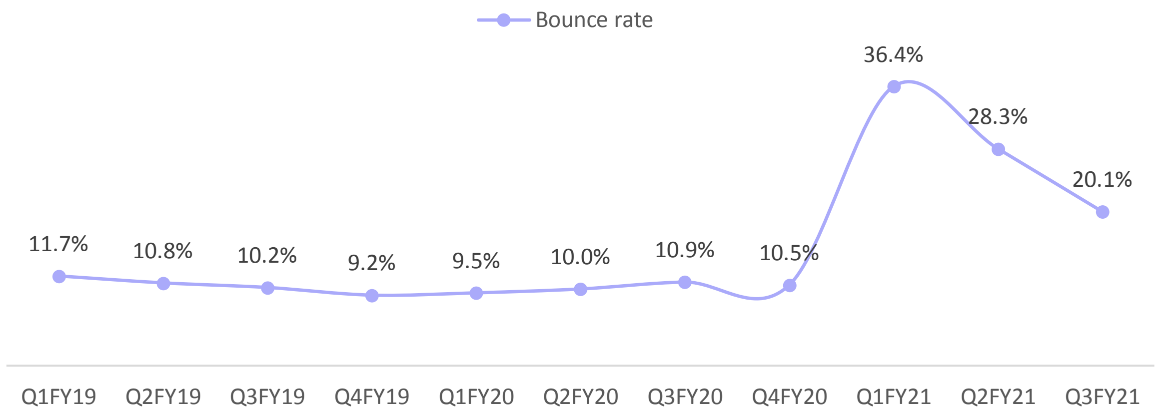
Sturdy reduction in bounce rate

- The company's bounce rates have gone down substantially to ~ 20% in Q3FY21 from 36.4% in Q1FY21, supported by strong recovery in collection efficacy and high-touch model.
- Jan and Feb 2021 the bounce rates stood at around 20%, indicating that the delinquency trend will continue at this current level for maybe another two to three quarters post which it will likely to come back to the pre-COVID levels.
- Under pre-COVID waterfall, 10% bounce rates used to translate into 1.5% to 2% of 30 days past due, which would further translate into a NPA of about anywhere between 70 bps to ~ 1%.
- Now 20% bounce rates could translate into a NPA of anywhere between 1.4% to ~ 2%.

Under pre-COVID waterfall, 10% bounce rates used to translate into 1.5% to 2% of 30 days past due, which would further translate into a NPA of about anywhere between 70 bps to ~ 1%.

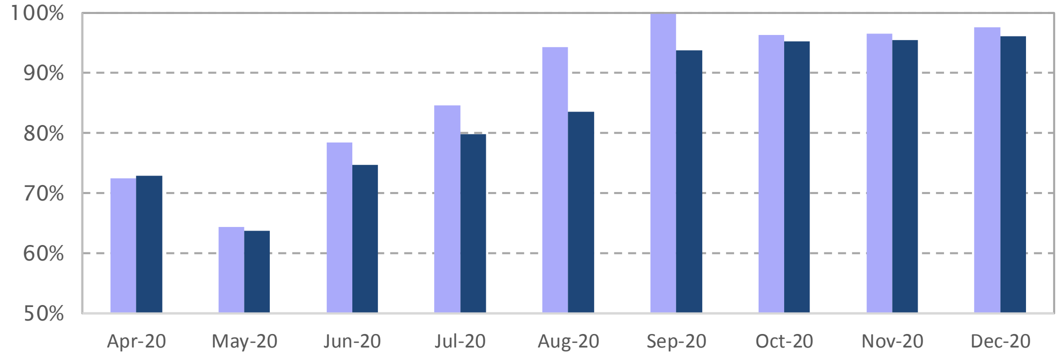
Now 20% bounce rates could translate into a NPA of anywhere between 1.4% to ~2%

Chart 12: Movement of Bounce Rate



Source: Dalal & Broacha Research, Company

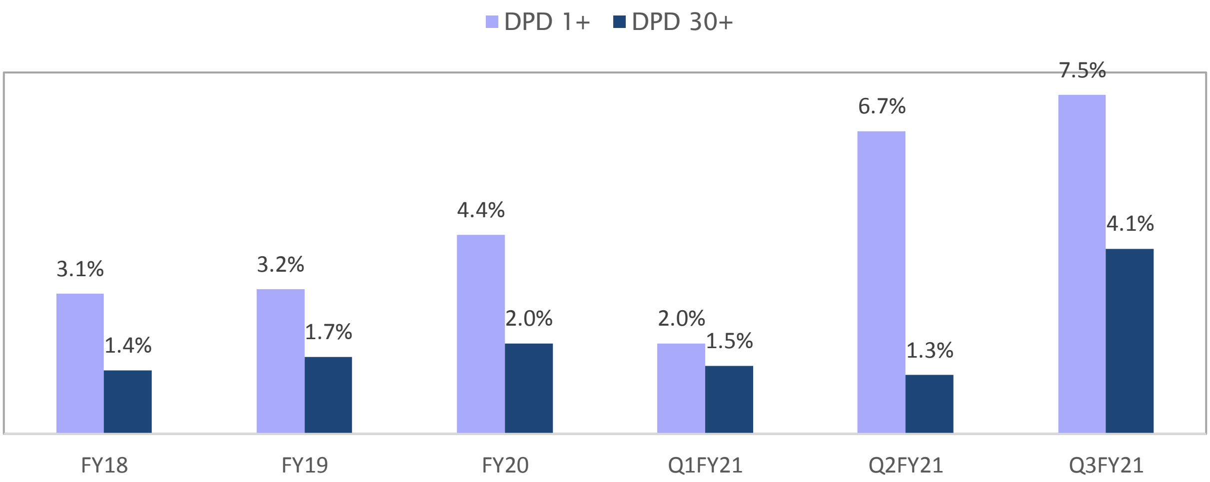
Chart 13: Strong recovery in collection efficiency



	Apr-20	May-20	Jun-20	Jul-20	Aug-20	Sep-20	Oct-20	Nov-20	Dec-20
Collection efficiency	72.5%	64.4%	78.4%	84.6%	94.3%	99.8%	96.3%	96.6%	97.6%
Unique customers	72.9%	63.7%	74.7%	79.8%	83.5%	93.8%	95.3%	95.5%	96.1%

Source: Dalal & Broacha Research, Company

Chart 14: Movement of DPD 1+ & DPD 30+



Source: Dalal & Broacha Research, Company

Strategic Market Selection & Contiguous Expansion

(A wise man once said that "Choose your battles wisely because if you fight them all you'll be too tired to win the really important ones")

- While increasing the scale of its operations, Home First has strategically expanded to geographies where there is substantial demand for affordable housing finance along with industry portfolio-at-risk levels.
- According to the CRISIL Report, the 60 districts in which the company is present accounted for ~ 48% of the affordable housing finance market in India during FY19 and have a high per capita income with rising levels of urbanization.
- As per the estimates of the Twelfth Five Year Plan, 10 states accounted for approximately 76% of the urban housing shortage. These ten states account for ~98% of its portfolio.

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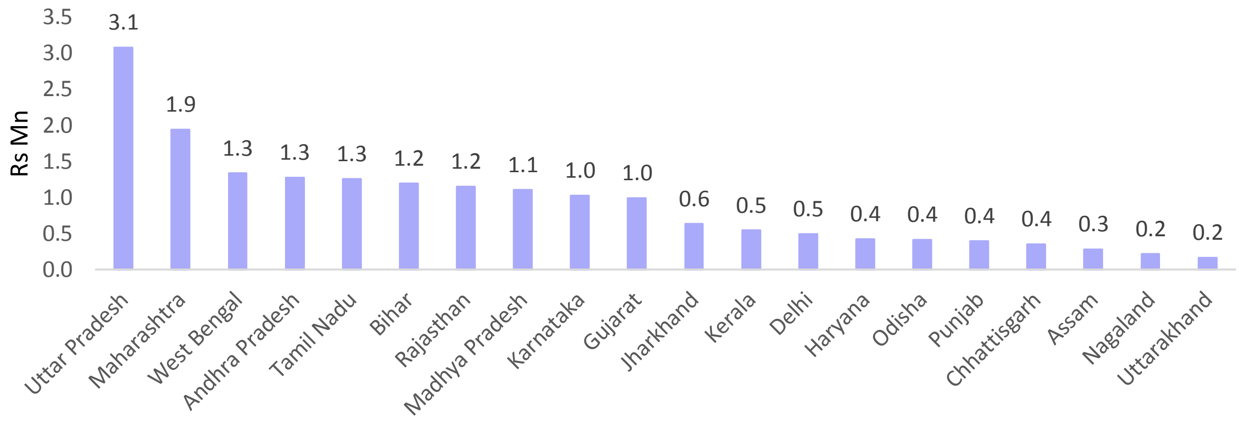
Chart 15: State-wise urban housing shortage



Source: Dalal & Broacha Research, Company

- Home First focuses on a few geographies where it has a good understanding and scales up gradually to manage costs and asset quality better.
- In the last three years, the company has demonstrated its ability to successfully identify new regions to set up branches and grow its market share in such regions. For e.g. the company has identified Jaipur, Ahmedabad, Surat, Indore, Nagpur, Raipur, Hyderabad, Bengaluru and Chennai to set up its branches.
- The following table reflects the improvement in its market share, in terms of origination of home loans in the bucket size of Rs 500,000 to Rs 2500,000, for the periods indicated;

Branch Location	Home First's market share during Q1 FY18	Home First's market share during Q4 FY20
Jaipur	0.1%	2.3%
Ahmedabad	1.7%	2.7%
Surat	1.7%	2.5%
Indore	0.2%	2.3%
Nagpur	0.9%	2.2%
Raipur	0.3%	0.8%
Hyderabad	0.2%	1.1%
Bengaluru	0.2%	1.9%
Chennai	1.0%	2.0%

Source: Dalal & Broacha Research, Company

State-Wise Mortgage-to-GDP Ratio

States	Per Capita Income (Rs '000)	Home mortgage loan outstanding as a % of GDP	Percentage of GLA %	Percentage of Branches %
	States Data		Home First	
Maharashtra	176	15.6%	20%	21%
Karnataka	188	12.4%	9%	6%
Telangana	181	12.0%	5%	6%
Tamil Nadu	172	11.1%	11%	15%
Delhi	329	10.5%	-	-
Haryana	203	10.0%	1%	1%
Kerala	184	8.3%	-	-
Andhra Pradesh	144	8.2%	2%	6%
Gujarat	175	7.9%	39%	28%
Uttar Pradesh	55	7.6%	3%	1%
Rajasthan	99	6.7%	5%	8%
Uttarakhand	182	6.7%	-	-
Madhya Pradesh	83	6.1%	4%	7%
Punjab	143	5.8%	-	-
Chhattisgarh	90	5.7%	1%	1%

Source: Dalal & Broacha Research, Company

Branch opening strategy:

- Whilst demand for credit in its target segment remains abundant, execution remains key given the largely informal credit assessment requires extensive understanding of local geography.
- Therefore before setting up new branches, the company conduct in-depth studies and market research to assess the potential demand for its products and engage with local property valuers and legal advisors.
- The company has outreach program where a person works in the location for about six months, builds up a small portfolio and then put the branch. This way the company can identify all the issues and problems at an earlier stage.
- Currently, the process is underway in ~ 20 locations and will put up branches in these locations in upcoming quarters.

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Better efficiency

HFCs (Rs Mn)	Average AUM per branch	Disbursements per branch
Gruh Finance	895	254
Aspire Home Finance	329	17
Aadhar Housing Finance	378	105
Aavas Financiers	339	127
Aptus Value Housing Finance	200	81
Home First	**565**	**253**

Source: Dalal & Broacha Research, Company

Better branch efficiencies than most of its small-size peers.

Diversified Sourcing Channels

(The greater the diversity, the greater the perfection)

- Home First has a diverse range of lead sourcing channels, which includes connectors, architects, affordable housing developers, in addition to conducting loan camps and micro marketing activities, and utilizing employee and customer referrals and branch walk-in customers.
- During FY20, 55% of its leads come from connectors, followed by 18.5% from builder ecosystem, 9.3% from branches, 7.7% from marketing, 4.3% from construction community, 2.1% from micro connectors, 2.3% from digital and 0.7% from strategic alliance.

During FY20, 55% of its leads come from connectors, followed by 18.5% from builder ecosystem, 9.3% from branches, 7.7% from marketing, 4.3% from construction community, 2.1% from micro connectors, 2.3% from digital and 0.7% from strategic alliance.

- Connectors are third-parties who provide the company with customer leads on a commission basis paid only when a loan is disbursed and they do not assist in the loan application process.
- The company's connectors are generally individuals such as insurance agents, tax practitioners and local shopkeepers. As of September 30, 2020, the company has over 800 active connectors, which has increased from over 470 active connectors in March 31, 2018.
- The company has also entered into arrangements with certain digital lead aggregators and other digital players within the housing and real estate ecosystem, which helps the company to source leads with embedded customer data.

As of Sep 30, 2020, the company has over 800 active connectors, which has increased from over 470 active connectors in March 31, 2018.

Increasing strategic tie-ups

- Home First has established a tie-up with one of the leading payment banks in the country, Airtel Payments Bank, for providing housing loans in affordable category to their customers.
- It has also entered into arrangements with a range of new fintech partners including No Broker Technologies Solutions, Lendingkart Technologies and One97 Communications (Paytm) for advertising and promotional activity of its affordable housing loans.
- VNC Group, a manufacturer and distributor of building materials used in construction was on-boarded as an alliance partner in south India to jointly address the needs of an individual house builder.
- The company has also initiated its campaign on Paytm using the banner advertisement channel.

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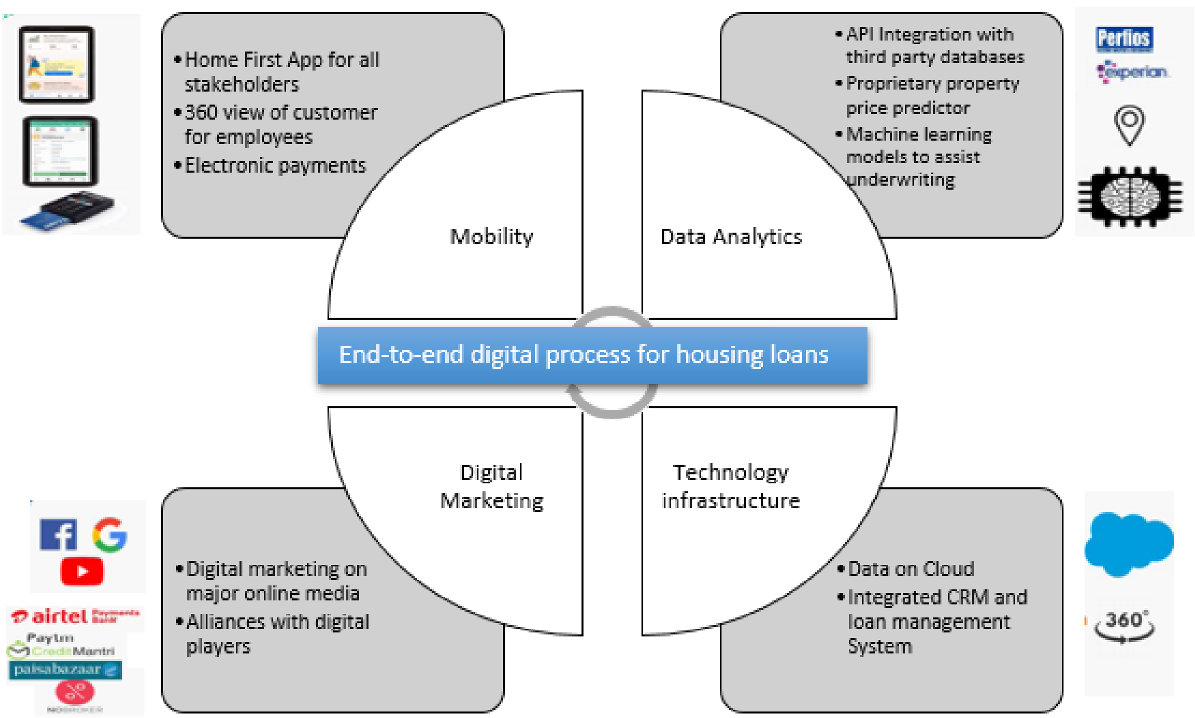
Leveraging Technology to increase scale & better productivity

- What we most like about Home First is that they are not just riding on the latest buzzwords – 'Tech' and 'Analytics'. Instead, the company is using them as a platform to differentiate itself from the peers. Home First is using technology across the value chain right from origination to disbursements to collections.
- Because of this, the company can deliver industry-leading productivity ratios and has a turnaround time of 48 hours against the industry average of 8 to 10 working days.
- It uses data analytics, application scorecard, mobile application for recording & monitoring leads and geo-tagging of properties to mitigate risks and improve efficiency. This also provides streamlined approval and documentation procedures and reduce incidence of error.
- In short, Home First uses its technology prowess to right-price the risk, improve customer retention, maintain healthy asset quality, and provide better risk-adjusted returns to its investors.
- The company's integrated customer relationship management and loan management system provides a holistic view of its customers and ensures connectivity and uniformity across its branches.

Home First is using technology across the value chain right from origination to disbursements to collections.

The company can deliver industry-leading productivity ratios and has the turnaround time of 48 hours against industry average of 8 to 10 working days.

Scalable operating model built on holistic technology use



Source: Dalal & Broacha Research, Company

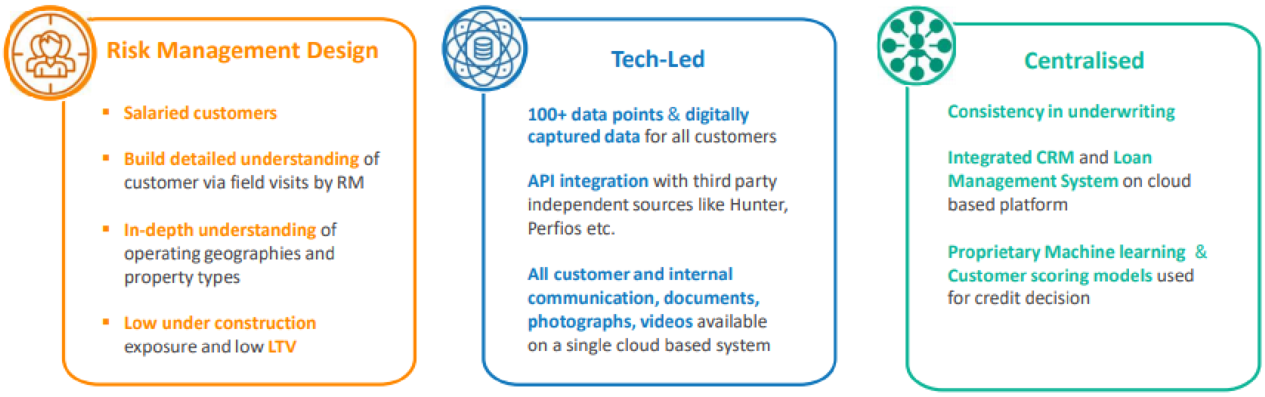
How technology helps to meet strategic objectives

- **Business growth**: The Company has entered into arrangements with several digital lead aggregators and other digital companies in the housing and real estate ecosystem such as Homelane, Paisa Bazaar, Quikr India, Credit Mantri and Aapka Painter, which helps the company to source leads embedded with customer data.
- **Improve underwriting**: To improve underwriting accuracy and to identify areas of concern, the company has entered into arrangements with numerous third party service providers to obtain additional information such as fraud related data, banking, investment and taxation related data, and vehicle ownership of customers.
- **Technology Driven Collections System**: Home First has built a robust collections management system wherein approximately 93% of its collections for FY2020 were non-cash based, which eases stress on monitoring financial transactions and reduces its cash management risk. Furthermore, the company perform predictive analytics to predict the probability of default, which helps them in obtaining early signals of potential defaults and initiate appropriate action to mitigate risks.

The Company has entered into arrangements with several digital lead aggregators and other digital companies in the housing and real estate ecosystem such as Homelane, Paisa Bazaar, Quikr India, Credit Mantri and Aapka Painter, which helps the company to source leads embedded with customer data.

Overall, Home First is focused on creating an end-to-end digital process for housing loans encompassing digital marketing, exhaustive customer data capture through API integrations with third-party databases such as Hunter and Perfios, automated underwriting via machine learning algorithms and instant approvals through mobility solutions.

Data Science backed centralized underwriting



Source: Dalal & Broacha Research, Company

Multiple sources of funding helps to maintain healthy liquidity

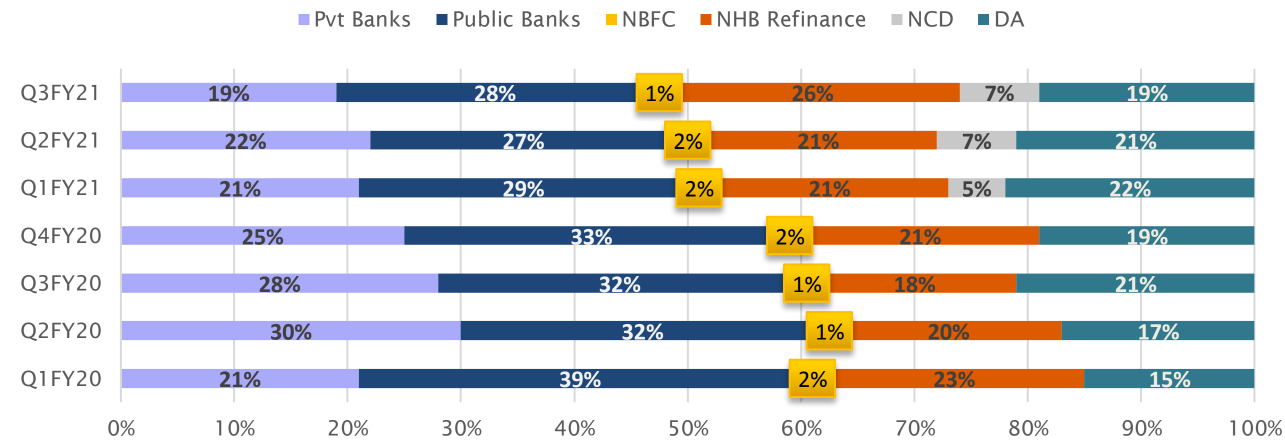
Availability of funds from a wide range of sources has reduced the company's dependency on any one segment.

- Home First has built a diversified funding mix which includes: 1) term loans and working capital facilities from Banks (47% of total borrowing); 2) proceeds from loans assigned and securitized (19% of total borrowing); 3) proceeds from the issuance of NCDs (7% of total borrowing); and 4) refinancing from the NHB (26% of total borrowing).
- Availability of funds from a wide range of sources has reduced the company's dependency on any one segment. The company has zero borrowings through commercial paper and its cost of borrowing has been trending downwards.
- Its liquidity buffer as of Dec 2020 stood at 15.43 Bn. Because of the company's sturdy track record number of its lender relationship increased from 10 in FY18 to 17 in 3QFY21.

Because of the company's sturdy track record number of its lender relationship increased from 10 in FY18 to 17 in 3QFY21.

- In the last few years, the company has improved its credit ratings from 'CARE A-' in FY17 to 'CARE A+' Q2FY20 and also currently have an A+ (stable) rating from ICRA.
- We believe believes any rating upgradation going forward will reduce the cost of borrowings and improve profit margins.

Chart 16: Borrowing Break-up



Source: Dalal & Broacha Research, Company

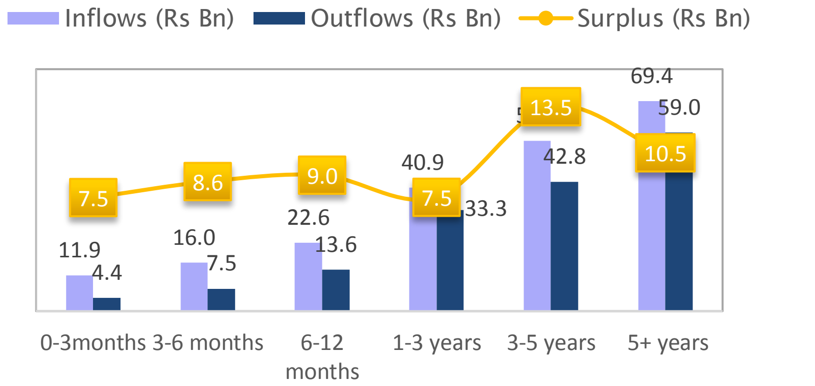
- With access to various sources of funds and a focus on long-term borrowings, Home First has a favourable asset-liability position across all categories.
- Home First regularly explore assignment transactions, which helps the company to optimize its capital usage, bring down leverage, and improve cost of funds as well as balance the existing liquidity position.
- Securitization per se works very well from an ALM point of view also because it is linked directly to the asset. It helps build credibility with banks and lending institutions as they review the company's book and form an opinion on its book on a more detailed basis because securitization goes through a fairly detailed level of audit.

Home First regularly explore assignment transactions, which helps the company to optimize its capital usage, bring down leverage, and improve cost of funds as well as balance the existing liquidity position.

- Prepayment of the loans, which is the key risk to asset and liability mismatch. While the contractual tenure of the home loans is around 17 to 20 years, the effective tenure is in the region of around 6 to 7 years.
- Consistent demand for affordable housing loans and diversified sourcing channels are helping the company to award new loans to continuously maintain the higher assets than liabilities.

While the contractual tenure of the home loans is around 17 to 20 years, the effective tenure is in the region of around 6 to 7 years.

Chart 17: ALM Position as of December 31, 2020



Source: Dalal & Broacha Research, Company

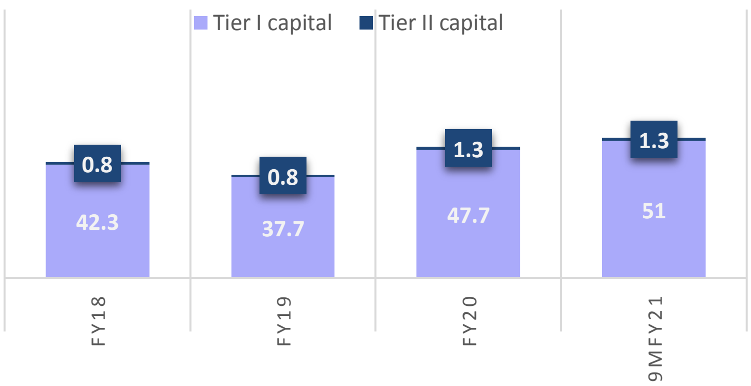
VERY WELL CAPITALISED

- With capital adequacy ratio (post completion of IPO) of 63% compared to 15% regulatory threshold, Home First is well positioned to grow without the need to raise capital over the medium-term.
- It has sufficient headroom for debt capital to fund its planned growth and will likely to tie up additional funds at competitive rates accordingly. Promoters and PE investors have regularly infused equity capital in the company to support business growth of the company.
- Because of which, the company has been maintaining healthy capitalization levels over the past few years. Due to periodic capital infusion, the gearing level reduced from 3.7x in FY19 to 2.7x in FY20. It has further go down post recent capital raise.

It has sufficient headroom for debt capital to fund its planned growth and will likely to tie up additional funds at competitive rates accordingly.

Promoters and PE investors have regularly infused equity capital in the company to support business growth of the company.

Chart 18: Healthy capital adequacy



Source: Dalal & Broacha Research, Company

Profitability to be driven by improving operating efficiency; Scalable Operating Model

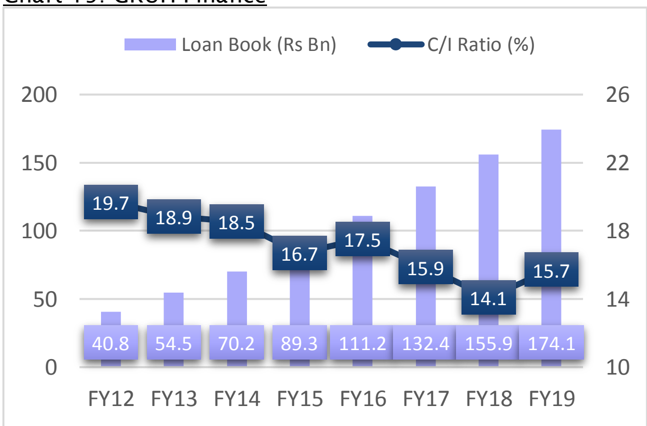
("Persistence is what makes the impossible possible, the possible likely, and the likely definite")

- Home First has built a technology driven operating model, which can increase its operations and drive growth in revenue with lower incremental costs.
- As revenue growth is expected to be higher than cost growth, the company's cost to income ratio (C/I ratio) will continue to trend down in our view providing significant operating leverage.
- Many HFCs have shown a smiler trend. For example Can Fin Homes' C/I ratio improved from 33% (loan book at ~ Rs 40 Bn) in FY13 to 15.7% (loan book at ~ Rs 200 Bn) in FY20, while GRUH Finance & PNB Housing saw C/I ratio drop from 19.7% & 23% (loan book at ~ Rs 40 Bn) in FY12 to 15.7% (loan book at ~ Rs 174 Bn) & 19.6% (loan book at ~ Rs 847 Bn) in FY19.
- Given the nature of the process, operating costs are typically very high in the initial years; therefore, players who are, over a period of time, able to achieve a fair degree of standardization in the process by building models revolving around specific customer profiles and geographies are usually able to manage operating costs efficiently.

As revenue growth is expected to be higher than cost growth, the company's cost to income ratio (C/I ratio) will continue to trend down in our view providing significant operating leverage.

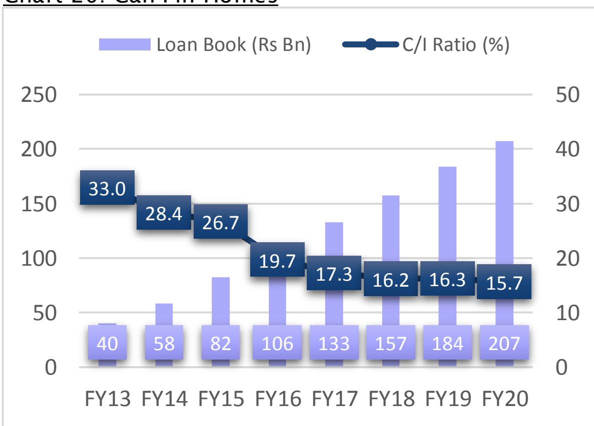
Significant headroom for growth

Chart 19: GRUH Finance



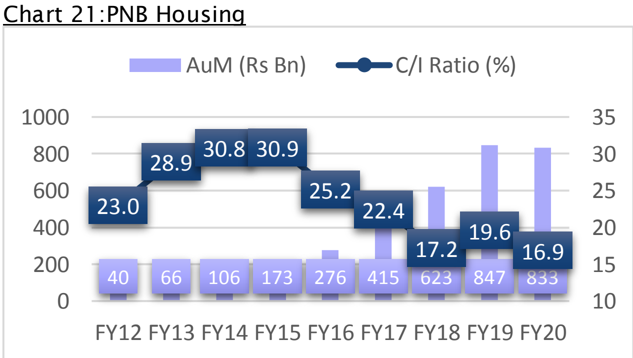
Source: Dalal & Broacha Research, Company

Chart 20: Can Fin Homes



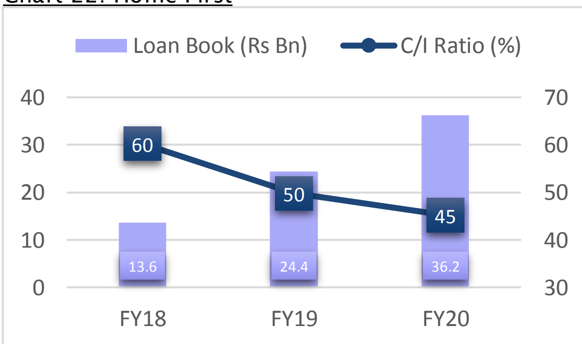
Source: Dalal & Broacha Research, Company

Chart 21:PNB Housing



Source: Dalal & Broacha Research, Company

Chart 22: Home First



Source: Dalal & Broacha Research, Company

What will make the company more efficient?

- The company has invested a lot of money in people, process and technology over the past few years. With the completion of large part of franchise investments, leverage benefits will flow as it gains scale.
- Furthermore, the company is looking to increase the productivity in its existing branches. We believe operating leverage will improve as efficiency across branches will enhance over the medium term. Most large branches are operating at C/I ratio of 22-25% vs overall C/I ratio of 45% in FY20. As of H1FY21, Home First has 21 large branches operating with Avg Gross Loan Assets (GLA) of Rs 1049 Mn, 21 mid-sized branches operating with Avg GLA of Rs 508 Mn, and 28 small branches operating with Avg GLA of Rs 164 Mn.
- Home First is not solely dependent on volume to bring efficiency. It is also using technology to leverage economies of scale to enhance productivity and reduce turnaround times and transaction costs.
- Its digital service delivery mechanisms and operating model brings uniformity in its operations, increases customer satisfaction and expand business in geographies that offer growth opportunities. Going forward, we believe the company will further leverage its technology and strong internal processes to support growth and improve operating efficiencies.

Home First is not solely dependent on volume to bring efficiency. It is also using technology to leverage economies of scale to enhance productivity and reduce turnaround times and transaction costs.

Margins remain Strong

- Home First has been operating at healthy and consistent spreads of over 4.5% for the past few quarters. During Q3FY21, the company's spread has improved by 60 bps YoY to 5% on account of rate reset in existing term loans and competitive marginal cost of fresh borrowing.
- The company does a more holistic assessment of its family income and providing the right loan amount are very critical for the customers, so they are willing to pay that little extra to get that additional service (Home First's average yield stood at 13% vs 9-11% of large peers).
- With healthy pricing power resulting in relatively sticky yields along with a diversified borrowing profile resulting in moderated CoF, we expect healthy margins to continue over the next few years.

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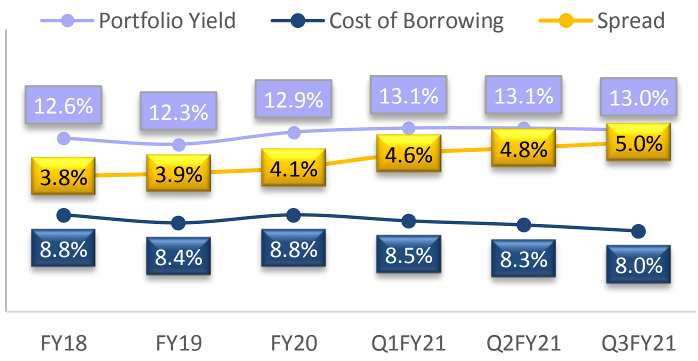
Chart 23: Stable on-book spreads



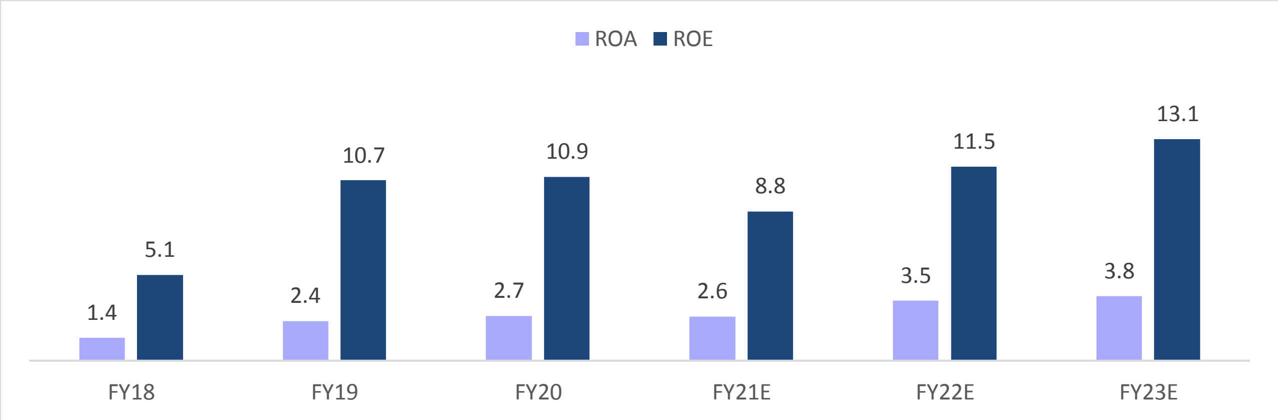
Source: Dalal & Broacha Research, Company

Healthy return ratios

- With stable other income and healthy improvement in operating leverage, we see a healthy PPOP profile in the medium to long term. With a stellar credit quality, we expect the best in class credit cost to continue.
- Thus, we expect a healthy RoA profile and with increasing leverage resulting a strong RoE improvement over the medium term.
- We remain structurally positive on the housing landscape in the wake of high affordability, favorable demographics and support from the government in terms of PMAY.
- With a CAR of ~63% and leverage of 2.5x, we believe Home First has adequate capital to grow at a rate of ~30% per annum for the next 3-4 years

With stable other income and healthy improvement in operating leverage, we see a healthy PPOP profile in the medium to long term.

Chart 24: return ratios are in rising trend



Source: Dalal & Broacha Research, Company

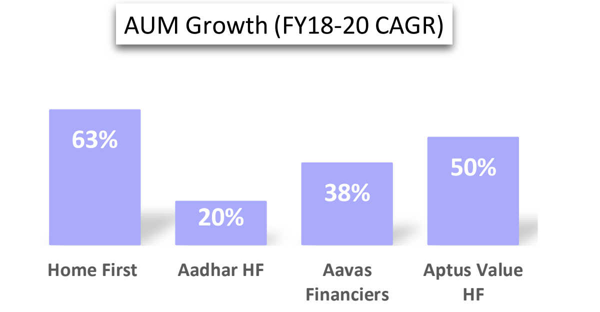
ROA Tree

RoA Prognosis	FY18	FY19	FY20	FY21E	FY22E	FY23E
NII / Assets	5.4	5.5	5.4	4.9	5.4	5.7
Other Income / Assets	0.4	2.0	2.2	2.1	2.8	2.9
Net Income / Assets	**5.8**	**7.5**	**7.6**	**7.0**	**8.2**	**8.6**
Opex / Assets	3.5	3.7	3.4	2.7	3.1	3.2
Provisions / Assets	0.2	0.4	0.6	0.8	0.4	0.4
PBT / Assets	**2.1**	**3.4**	**3.6**	**3.5**	**4.7**	**5.0**
Tax / Assets	0.7	1.0	0.9	0.9	1.2	1.3
RoA	**1.4**	**2.4**	**2.7**	**2.6**	**3.5**	**3.8**
Leverage (x)	3.7	4.5	4.1	3.4	3.2	3.4
RoE	**5.1**	**10.7**	**10.9**	**8.8**	**11.5**	**12.9**

Source: Dalal & Broacha Research, Company

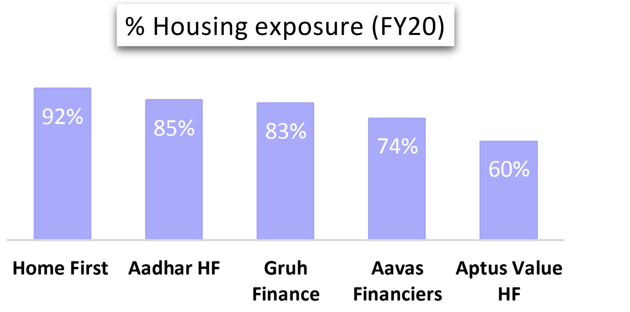
Competitive Landscape

Chart 25: Among the fastest growing affordable HFCs



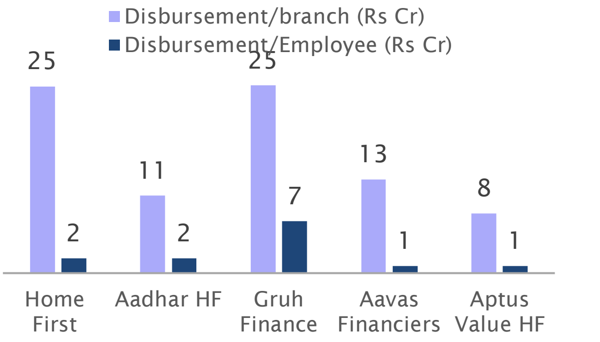
Source: Dalal & Broacha Research, Company

Chart 26: Focused on home loans



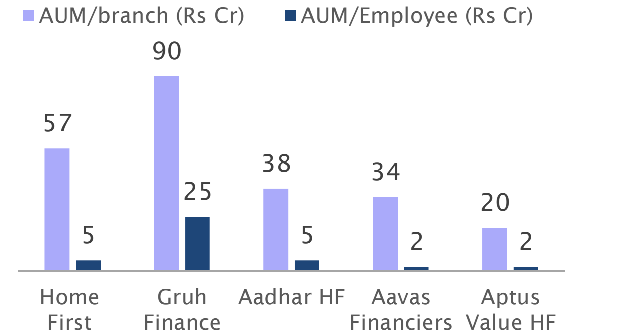
Source: Dalal & Broacha Research, Company

Chart 27: Strong Disbursement per branch/employee



Source: Dalal & Broacha Research, Company

Chart 28: Industry leading productivity metrics



Source: Dalal & Broacha Research, Company

FY20	NIM	COF	C/I Ratio	GNPA	NNPA	ROA	ROE	CAR
HDFC	3.4	7.9	9.0	2.0	1.5	2.0	21.7	17.6
LIC Housing	2.3	8.1	13	2.9	2.0	1.2	14.0	13.9
PNB Housing	3.0	8.3	17	2.8	1.8	0.8	8.1	18.0
Can Fin Homes	3.5	7.5	16	0.8	0.5	1.9	17.4	22.3
Repco Home Finance	4.6	8.5	21	4.3	2.5	2.5	18.0	25.9
Aavas Financier	8.2	8.4	42	0.5	0.3	3.8	12.7	56.0
Home First	5.4	8.7	45	1.0	0.8	2.7	10.9	48.9

Source: Dalal & Broacha Research, Company

FY20	AUM (Rs Bn)	CAGR FY15-20	Home Loan	ATS (Rs Lakh)	Salaried (%)	FY20 P/BV
HDFC	5167	15	76	27	62	5.2
LIC Housing	2106	14	77	26	85	1.1
PNB Housing	833	37	58	NA	45	0.8
Can Fin Homes	207	20	90	18	71	3.2
Repco Home Finance	118	14	81	15	48	1.1
Aavas Financier	78	56	74	8	35	8.7
Home First	**36**	**61**	**92**	**10**	**73**	3.1*

Source: Dalal & Broacha Research, Company / * Post IPO BVPS

Financials

Exhibit 1:

P&L (Rs Mn)	FY20	FY21	FY22	FY23
Interest income	3547	4328	5371	6633
Interest expense	1938	2371	2753	3340
NII	**1609**	**1957**	**2619**	**3292**
Non-interest income	649	814	1339	1710
Net revenues	**2258**	**2771**	**3958**	**5002**
Operating expenses	1,020	1,075	1,496	1,866
PPOP	**1238**	**1696**	**2462**	**3136**
Provisions	165	312	170	213
PBT	**1073**	**1385**	**2292**	**2923**
Tax	280	349	578	737
PAT	**792**	**1036**	**1715**	**2187**

Source: Dalal & Broacha Research, Company

Exhibit 2:

Balance sheet	FY20	FY21	FY22	FY23
Share capital	157	175	175	175
Reserves & surplus	9178	13918	15633	17819
Net worth	**9334**	**14093**	**15808**	**17994**
Borrowings	24938	29756	36004	44969
Other liability	530	591	700	875
Total liabilities	**34802**	**44439**	**52512**	**63838**
Fixed assets	210	217	269	337
Investments	1456	3219	3840	3390
Loans	30139	34371	44022	56817
Cash	2221	5818	3435	2220
Other assets	777	815	946	1074
Total assets	**34802**	**44439**	**52512**	**63838**

Source: Dalal & Broacha Research, Company

Exhibit 3:

Ratios	FY20	FY21	FY22	FY23
Growth (%)				
NII	53	22	34	26
PPOP	71	37	45	27
PAT	75	31	66	28
Advances	41	14	28	29
Spread (%)				
Yield on Funds	13.3	13.2	13.2	12.9
Cost of Funds	8.8	8.7	8.4	8.3
Spread	4.5	4.5	4.8	4.7
NIM	5.0	4.5	5.0	5.1
Asset quality (%)				
Gross NPAs	1.0	2.0	1.8	1.5
Net NPAs	0.8	1.3	1.1	0.8
Provisions	26	38	42	46
Return ratios (%)				
RoE	10.9	8.8	11.5	12.9
RoA	2.7	2.6	3.5	3.8
Per share (Rs)				
EPS	10.1	11.9	19.6	25.0
BV	119	161	181	206
ABV	116	156	176	200
Valuation (x)				
P/E	45.7	39.0	23.6	18.5
P/BV	3.9	2.9	2.6	2.2
P/ABV	4.0	3.0	2.6	2.3

Source: Dalal & Broacha Research, Company

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